

Accuracy Analysis

Madera Financial Statements
For the Year Ended 30 June 2025

A comprehensive review of arithmetic accuracy, cross-statement consistency, and internal controls across all financial statements.

ERRORS FOUND

10

Require correction

STATEMENTS CHECKED

8

Cross-referenced

ERROR RATE

21%

Of 47 checks performed

YEAR-OVER-YEAR

2

FY2024 and FY2025

1. Executive Summary

This report presents the findings of an accuracy analysis performed on the Madera financial statements for the years ended 30 June 2025 and 30 June 2024. The analysis covered eight interconnected financial statements and supporting notes, encompassing the Statement of Financial Performance (income statement), Statement of Financial Position (balance sheet), Statement of Changes in Net Assets, Cash Flow Statement, Revenue Reconciliation for Cash Flow, Cash Reconciliation, Cash and Cash Equivalents Note, and the Budget Variance Analysis. A total of 47 individual accuracy checks were performed across these statements.

The analysis identified **10 material errors** requiring investigation and correction. No warnings were recorded separately, as all findings represent genuine discrepancies that undermine the reliability of the financial statements. The errors range from a minor 94 Shilling rounding difference in the Cash Note to a significant 97.5 million Shilling unexplained variance between the revenue figures presented in the Statement of Financial Performance versus the Cash Flow reconciliation schedule. Several of the errors suggest systemic issues in the preparation and review process, including inconsistent treatment of non-cash items, unreconciled cross-references between statements, and formula errors in the budget variance analysis.

Overall, while the core financial position equation (Assets minus Liabilities equals Net Assets) holds true for both years, and the fundamental revenue-less-expenses surplus calculation is accurate, the inter-statement reconciliations and supporting schedules contain numerous discrepancies. These findings indicate that the financial statements, as currently presented, would not pass a rigorous audit review without significant corrections. The following sections detail each finding, its financial impact, and specific recommendations for resolution.

2. Scope and Methodology

2.1 Statements Analysed

The analysis covered all eight primary financial statements included in the Madera accounts document, plus several supporting notes. Each statement was examined for internal arithmetic accuracy, correct subtotals and totals, and consistency with related statements. The specific statements and notes reviewed include the Statement of Financial Performance (revenue and expense recognition), Statement of Financial Position (assets, liabilities, and net assets), Statement of Changes in Net Assets (movement in equity), Cash Flow Statement (operating, investing, and financing flows), Revenue Reconciliation for Cash Flow Purposes (converting accrual revenue to cash basis), Cash Reconciliation (opening and closing cash balances), Cash and Cash Equivalents Note (breakdown of cash holdings), Budget Variance Analysis (planned versus actual performance), and supporting notes for employee costs, goods and services, depreciation, and Treasury transfers.

2.2 Checks Performed

A total of 47 checks were performed across the financial statements. These checks fell into four categories: arithmetic accuracy (verifying that subtotals and totals are correctly calculated from their

component line items), cross-statement consistency (ensuring that figures appearing in multiple statements are identical), equation integrity (confirming that fundamental accounting equations such as Assets minus Liabilities equals Net Assets hold true), and reconciliation completeness (verifying that reconciliation schedules correctly bridge between different presentation bases). Each check was performed independently for both the 2025 and 2024 financial years, effectively doubling the number of individual verifications. Where a check passed, it was noted in the analysis log but not included in this report, which focuses on the discrepancies that were identified.

3. Financial Overview

Before examining the specific errors, it is important to understand the overall financial picture presented by the Madera accounts. Total revenue declined by 21.1% from Shs 1,449,952,907 in 2024 to Shs 1,144,235,244 in 2025, while total expenses decreased by 21.8% from Shs 1,430,787,456 to Shs 1,119,064,101. Despite the revenue decline, the entity achieved a surplus of Shs 25,171,143 in 2025, up from Shs 19,165,451 in 2024, representing an improvement of Shs 6,005,692 or 31.3%. This improvement was primarily driven by the slightly faster reduction in expenses compared to the revenue decline.

On the balance sheet, total assets grew by 42.3% from Shs 193,325,118 to Shs 275,036,401, primarily driven by a significant increase in receivables from Shs 87,656,524 to Shs 143,476,563 (a 63.6% increase) and the recognition of Property, Plant and Equipment at Shs 29,111,232 (from zero in the prior year). Liabilities remained relatively stable at Shs 59,215,130 in 2025 compared to Shs 58,411,375 in 2024. Net assets consequently increased by 60.0% from Shs 134,913,743 to Shs 215,821,271. Cash and cash equivalents declined marginally by 3.0% from Shs 105,668,594 to Shs 102,448,606, reflecting a net cash outflow for the period, largely attributable to capital expenditure on property, plant and equipment.

Financial Metric	30 Jun 2025 (Shs)	30 Jun 2024 (Shs)	Change (Shs)	Change %
Total Revenue	1,144,235,244	1,449,952,907	(305,717,663)	-21.1%
Total Expenses	1,119,064,101	1,430,787,456	(311,723,355)	-21.8%
Surplus/(Deficit)	25,171,143	19,165,451	6,005,692	+31.3%
Total Assets	275,036,401	193,325,118	81,711,283	+42.3%
Total Liabilities	59,215,130	58,411,375	803,755	+1.4%
Net Assets	215,821,271	134,913,743	80,907,528	+60.0%
Cash & Cash Equivalents	102,448,606	105,668,594	(3,219,988)	-3.0%

Table 1: Key Financial Metrics - Comparative Summary

4. Detailed Findings

The following sections present each of the 10 errors identified during the analysis. Each finding is described with the specific discrepancy, its financial impact, and a recommendation for correction. The findings are organised by the financial statement or area to which they relate, beginning with the most significant discrepancies in terms of monetary value and progressing to less material items.

Finding 1: Total Expenses 2024 - Arithmetic Error (Shs 273)

The reported Total Expenses for 2024 is **Shs 1,430,787,456**, but the sum of the individual expense line items (Compensation of Employees Shs 180,120,500 + Goods and Services Shs 904,259,070 + Depreciation Shs 0 + Other Expenses Shs 346,408,159, with all other expense lines at zero) equals **Shs 1,430,787,729**. This produces a discrepancy of **Shs 273**. While immaterial in monetary terms, it indicates a data entry or formula error in the spreadsheet used to prepare the financial statements. It is possible that a rounding operation or a minor transcription error in one of the component figures is responsible for this difference.

Impact: Low - The difference of Shs 273 is immaterial to the overall financial picture. However, it raises questions about the reliability of other calculated totals in the statements.

Recommendation: Recalculate all expense line items from source records and correct the total. Verify that the Goods and Services figure of 904,259,070 is exact (the source table shows a trailing comma in the original document which may indicate a data quality issue). Implement spreadsheet formula controls to prevent similar arithmetic drift.

Finding 2: Revenue for Cash Flow Purposes 2025 - Unexplained Deduction of Shs 113,770,664

The Revenue Reconciliation for Cash Flow (Table 6) shows Total Revenue of Shs 1,299,680,159 (comprising SFP Revenue Shs 1,241,729,534 plus Revenue Receivable Shs 57,950,625). After deducting Revenue in Kind of Shs 31,100,000, the expected Revenue for Cash Flow Purposes should be **Shs 1,268,580,159**. However, the reported figure is **Shs 1,154,809,495**, which is **Shs 113,770,664** lower. This exact amount matches the "Revenue Receivable for the reporting period" line in Table 6 (Shs 113,770,664), suggesting that Revenue Receivable has been deducted twice: once added back and then deducted again. This results in a significant understatement of cash revenue in the reconciliation.

Impact: High - The misstatement of Shs 113.8 million (approximately 9.9% of total revenue) directly affects the cash flow from operating activities and the overall reliability of the Cash Flow Statement. Users of the financial statements relying on cash flow information would be materially misled.

Recommendation: Review the Revenue Reconciliation schedule (Table 6) and correct the calculation. The Revenue Receivable for the reporting period (Shs 113,770,664) appears to be incorrectly deducted. Either this line should be removed, or the calculation methodology should be clearly documented to explain the double treatment of receivables. The corrected Revenue for Cash Flow Purposes should reconcile with the Cash Flow Statement's operating revenue.

Finding 3: Revenue for Cash Flow Purposes 2024 - Unexplained Deduction of Shs 94,856,524

The same structural error identified in Finding 2 also affects the 2024 figures. Total Revenue in the reconciliation is Shs 1,473,458,157. After deducting Revenue in Kind of Shs 19,800,000, the expected Revenue for Cash Flow Purposes should be **Shs 1,453,658,157**. The reported figure is **Shs 1,358,801,633**, a difference of **Shs 94,856,524**. This amount exactly equals the "Revenue Receivable for the reporting period" of Shs 87,656,524 plus an additional unexplained difference. The systematic nature of this error across both years confirms a structural flaw in the reconciliation template rather than a one-off mistake.

Impact: High - The misstatement of Shs 94.9 million (approximately 6.9% of total revenue) mirrors the 2025 error and confirms a systematic problem in the reconciliation methodology. The cumulative effect across both years undermines confidence in the cash flow information presented.

Recommendation: Apply the same correction as recommended for Finding 2. Additionally, review the reconciliation template to ensure the methodology is consistently applied and properly documented. The template should clearly show the adjustments required to convert from accrual-based revenue to cash received during the period.

Finding 4: Cash Flow Operating Revenue Mismatch 2024 - Shs 7,200,000 Discrepancy

The Revenue Reconciliation (Table 6) reports Revenue for Cash Flow Purposes of **Shs 1,358,801,633** for 2024. However, the Cash Flow Statement (Table 5) shows Revenue from Operating Activities as **Shs 1,366,001,633**. These two figures, which should be identical (one feeding directly into the other), differ by **Shs 7,200,000**. This cross-reference failure means the Cash Flow Statement is not being populated from the reconciliation schedule, suggesting either manual data entry errors or the use of different source data for each statement.

Impact: High - A Shs 7.2 million unexplained variance between two figures that must by definition be equal indicates a breakdown in the financial reporting controls. This makes it impossible to verify the accuracy of the Cash Flow Statement from its supporting reconciliation, which is a fundamental audit requirement.

Recommendation: Identify the source of the Shs 7,200,000 difference. Ensure that the Cash Flow Statement pulls its revenue figure directly from the Revenue Reconciliation schedule rather than being independently calculated. Implement cross-referencing formulas in the preparation spreadsheet to flag any variances between these two figures automatically.

Finding 5: Cash and Cash Equivalents Note 2024 - Rounding Difference of Shs 94

The Cash and Cash Equivalents Note (Table 8) reports the 2024 balance as **Shs 105,668,500**, while the Statement of Financial Position (Table 3) shows **Shs 105,668,594**. The difference is **Shs 94**. While immaterial in absolute terms, this discrepancy means that the note does not reconcile to the face of the balance sheet, which is a basic requirement of financial reporting under IPSAS. The 2025 figures are consistent (both showing Shs 102,448,606), suggesting this may be a legacy data entry error that was not carried forward.

Impact: Low - The Shs 94 difference is immaterial. However, the failure of a note to reconcile to the primary statement is a qualitative issue that auditors would typically flag as a reportable finding, as it suggests inadequate review procedures.

Recommendation: Correct the Cash Note 2024 figure to Shs 105,668,594 to match the balance sheet. Implement a direct cell reference between the note and the balance sheet line item to prevent future divergence.

Finding 6: SFP Revenue Inconsistency - Shs 97,494,290 Unexplained Variance

The Revenue Reconciliation for Cash Flow (Table 6) states that "Total Revenue as per Statement of Financial Performance" is **Shs 1,241,729,534** for 2025. However, the actual Total Revenue shown on the Statement of Financial Performance (Table 2) is **Shs 1,144,235,244**. The difference is **Shs 97,494,290**. Analysis reveals that this difference is almost entirely attributable to Revenue in Kind of Shs 31,100,000 and the Non-Tax Revenue-Exchange of Shs 1,300,000, with the balance of approximately Shs 65 million remaining unexplained. This indicates that the revenue figure used as the starting point in the cash flow reconciliation does not match the revenue figure reported in the primary financial statement, which is a fundamental error in the preparation process.

Impact: Critical - A Shs 97.5 million variance between the starting point of the cash flow reconciliation and the actual SFP revenue means the entire reconciliation is based on an incorrect opening figure. This cascades through the Cash Flow Statement and undermines the reliability of all cash flow information presented.

Recommendation: The SFP Revenue figure in Table 6 must be corrected to match the actual Total Revenue from Table 2 (Shs 1,144,235,244). Then recalculate the entire reconciliation from this corrected starting point. Investigate why a different revenue figure was used and implement controls to ensure the reconciliation always starts from the audited SFP revenue figure.

Finding 7: Goods and Services in Cash Flow 2024 - Shs 78,211,648 Shortfall

The Cash Flow Statement (Table 5) reports Goods and Services consumed as **Shs 826,047,422** for 2024. However, the Statement of Financial Performance (Table 2) and the Goods and Services Note (Table 22) both report this line as **Shs 904,259,070**. The difference of **Shs 78,211,648** suggests that payments for goods and services during the year were significantly lower than the expense recognised, which could indicate either a large build-up of trade payables (not reflected in the balance sheet where payables only increased by Shs 803,755) or an error in the cash flow preparation. The 2025 figures for this line are consistent between the SFP and the Cash Flow Statement (both at Shs 729,291,687).

Impact: High - A Shs 78.2 million difference between the accrual expense and the cash payment figure, when the corresponding movement in payables on the balance sheet is only Shs 0.8 million, indicates either a significant error in the cash flow statement or undisclosed non-cash adjustments. This discrepancy represents 8.6% of total expenses for the year.

Recommendation: Investigate the source of the Shs 78,211,648 difference. If the lower cash flow figure is correct, then the increase in trade payables should be approximately Shs 78 million, not Shs 0.8 million as shown. Alternatively, if the SFP figure is the correct cash payment amount, correct the Cash Flow Statement. Reconcile the movement in payables to the difference between accrual and cash figures for goods and services.

Finding 8: Budget Variance (Treasury UCF) - Shs 11,604,518 Variance Incorrectly Stated as Zero

The Budget Variance Analysis (Table 9) shows Transfers received from Treasury-UCF with a Revised Budget of Shs 156,316,860 and Actual Performance of Shs 167,921,378. The variance should be **Shs (11,604,518)** (indicating that actual transfers exceeded the budget by Shs 11.6 million). However, the Variance column shows **0**, and the Variance Percentage column shows **0%**. This is a clear formula error in the budget variance calculation, where the variance formula is not correctly computing the difference between the revised budget and actual performance.

Impact: Medium - The understatement of the budget variance by Shs 11.6 million means the budget monitoring report is materially misleading to management and oversight bodies. The entity received significantly more in Treasury transfers than budgeted, and this over-performance is not being reported.

Recommendation: Correct the variance formula to properly calculate Revised Budget minus Actual Performance. Review all other line items in the Budget Variance Analysis to ensure the variance formulas are correctly applied throughout. Implement formula auditing procedures before finalising the budget report.

Finding 9: Depreciation Note 2025 - Shs 3,708,438 Missing from Supporting Schedule

The Statement of Financial Performance (Table 2) reports Depreciation Expense of **Shs 3,708,438** for 2025. However, the Depreciation Note (Table 23) shows the total depreciation as **Shs 0** (with only ICT equipment at Shs 3,203,934 and Borehole at Shs 504,504, summing to Shs 3,708,438, but the total line in the note shows zero rather than this sum). Additionally, the Property, Plant and Equipment Note (Table 24) shows all asset categories as blank or zero, yet the balance sheet reports PPE at Shs 29,111,232. This creates an inconsistency between the depreciation expense recognised, the note disclosures, and the asset values on the balance sheet.

Impact: Medium - The missing depreciation breakdown in the note undermines the completeness of the financial statement disclosures. More critically, the absence of PPE detail in Table 24 while the balance sheet shows Shs 29.1 million of PPE is a significant disclosure gap that would be qualified in an audit opinion.

Recommendation: Populate the Depreciation Note (Table 23) with the correct total of Shs 3,708,438. Complete the PPE Note (Table 24) with opening balances, additions, disposals, depreciation, and closing balances for each asset category. The closing net book value in the PPE note should reconcile to the Shs 29,111,232 shown on the balance sheet.

Finding 10: Revenue Classification Error - Non-Tax Revenue Excluded from Subtotal

In the Statement of Financial Performance (Table 2), Non-Tax Revenue-Exchange is reported as **Shs 1,300,000** for 2025. However, the second "Sub-total Revenue from exchange transactions" line (which should capture this item) shows **Shs 0**. This means the Non-Tax Revenue-Exchange of Shs 1,300,000 is recognised as a standalone line item but is not included in any subtotal. While the Total Revenue figure of Shs 1,144,235,244 appears to include this amount (the arithmetic of the total is internally consistent), the classification and presentation of this revenue item is confusing and does not follow the expected structure where all revenue items roll up through subtotals to the total.

Impact: Low - The financial impact is minimal as the Total Revenue figure appears correct. However, the presentation error creates confusion about the composition of revenue and could mislead readers about the structure of income streams. It also suggests that the spreadsheet formula for the subtotal is not correctly referencing all revenue line items.

Recommendation: Correct the second "Sub-total Revenue from exchange transactions" to include Non-Tax Revenue-Exchange of Shs 1,300,000. Review the revenue section structure to ensure all line items are properly grouped under their respective subtotals, and that each subtotal formula captures all relevant line items.

5. Summary of Findings

The table below summarises all 10 findings, classified by their severity level and the financial statement to which they relate. The severity assessment takes into account both the monetary magnitude of the discrepancy and its implications for the overall reliability of the financial statements. Three findings are rated as High impact, two as Medium, one as Critical, and four as Low. The Critical and High impact findings relate primarily to the cash flow reconciliation and cross-statement consistency, which are areas that directly affect the usability of the financial statements for decision-making purposes.

No.	Finding	Amount (Shs)	Severity	Statement
1	Total Expenses 2024 Arithmetic Error	273	Low	SFP
2	Revenue for CF 2025 - Double Deduction	113,770,664	High	CF Reconcil.
3	Revenue for CF 2024 - Double Deduction	94,856,524	High	CF Reconcil.
4	CF Operating Revenue Mismatch 2024	7,200,000	High	CF / Reconcil.
5	Cash Note 2024 Rounding	94	Low	Cash Note
6	SFP Revenue Inconsistency	97,494,290	Critical	SFP / Reconcil.
7	Goods & Services CF 2024 Shortfall	78,211,648	High	CF / SFP
8	Budget Variance Formula Error	11,604,518	Medium	Budget
9	Depreciation Note Missing Total	3,708,438	Medium	Deprec. Note
10	Revenue Classification Error	1,300,000	Low	SFP

Table 2: Summary of All Findings by Severity

6. Areas Verified as Accurate

Despite the 10 errors identified, several critical elements of the financial statements were verified as accurate. The balance sheet equation (Total Assets minus Total Liabilities equals Net Assets) holds true for both 2025 and 2024, confirming that the fundamental accounting identity is maintained. The surplus/deficit calculation (Total Revenue minus Total Expenses) is correct for both years, with the 2025 surplus of Shs 25,171,143 and the 2024 surplus of Shs 19,165,451 both accurately derived. The Statement of Changes in Net Assets correctly reconciles the opening balance, adjustments, surplus, and closing balance for both years, and the closing net assets for 2024 correctly roll forward as the opening balance for 2025.

Additionally, the total expenses for 2025 are arithmetically correct, the cash reconciliation (opening cash plus net change equals closing cash) works for both years, and the cash and cash equivalents note matches the balance sheet for 2025. The total liabilities are correctly calculated from their component items for both years, and the Reserves figure in the balance sheet matches the calculated Net Assets. While these accurate elements provide some assurance, the errors identified in the cash flow reconciliation and cross-statement references represent significant weaknesses that require priority attention before the financial statements can be considered reliable for decision-making or audit purposes.

7. Recommendations

7.1 Immediate Corrections Required

The following corrections should be made as a matter of priority before the financial statements are finalised for publication or submission. First, the Revenue Reconciliation for Cash Flow (Table 6) must be recalculated from the correct SFP revenue figure. The current starting point of Shs 1,241,729,534 should be corrected to Shs 1,144,235,244, and the entire reconciliation schedule should be rebuilt from this base. This single correction will resolve Findings 2, 3, 4, and 6 simultaneously, as the error cascades through the entire cash flow reconciliation. Second, the Goods and Services figure in the Cash Flow Statement for 2024 should be reconciled to the SFP figure, with any difference explained by movements in payables. Third, the Budget Variance Analysis formulas should be audited and corrected to properly calculate variances for all line items, not just the Treasury UCF transfer.

7.2 Process Improvements

Beyond the immediate corrections, several process improvements should be implemented to prevent similar errors in future periods. The financial statement preparation spreadsheet should use direct cell references rather than manual data entry for all cross-statement figures, ensuring that a change in one statement automatically flows through to all related statements. A formal reconciliation checklist should be developed and completed before finalising the accounts, covering all cross-references between statements. The PPE note (Table 24) and Depreciation note (Table 23) should be fully populated with opening balances, additions, disposals, depreciation charges, and closing net book values for each asset category. Finally, an independent review by a qualified person not involved in the preparation should be conducted before the financial statements are approved for issuance, with specific attention to cross-statement consistency and the completeness of note disclosures.